SportFlex

Less money at risk when a child starts a sport or changes coach

Stage Gate 1 · FIN 577 Entrepreneurial Finance · King Saud University

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Recommendation: **Proceed, with conditions**

SportFlex

Parents pay before they can judge. When the choice is wrong, the family carries the loss.



A SAR 2,700 ten-session package · child stops after 3

7 sessions forfeited

SAR 1,890

lost on one wrong package

14%

of a median household's monthly income

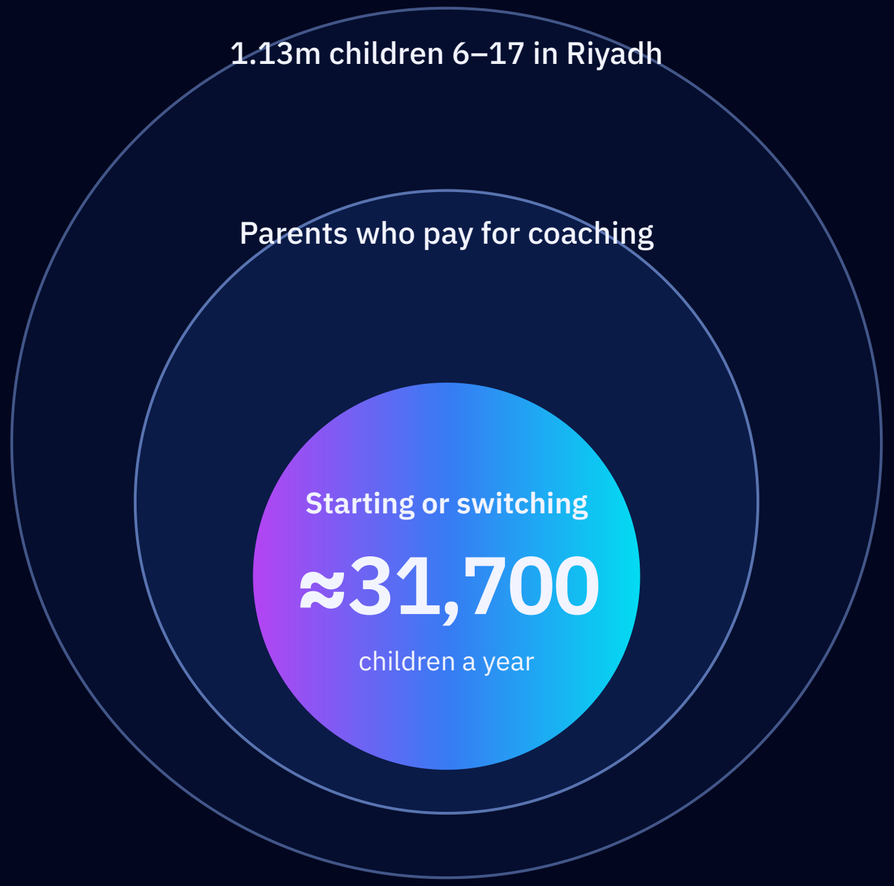
up to 3 months

of searching before the first session

Dossier §2.1 · Table 1 · Elite Sports Academy prices · GASTAT (2024a) · Table 5

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The Riyadh parent whose child is starting or switching — the exploring family



1 person searches, judges and pays — all 8 interviews

≈31,700 children a year start or switch at providers a platform can contract

SAR 1,350 average first commitment to an unfamiliar provider

Dossier §3.1–3.2 · Table 2 · GASTAT 2022 census · Appendix B line 13

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Money is committed before evidence — and failures are about fit, not coaching



7 of 8

paid before the first session, or bought a package



3 of 8

failed because of the child's fit — club, sport or format — not the coaching



2 of 8

lost money or paid "against my will"

> *"Unfortunately there is no way; I have to try."*
>
> Parent P1 · Riyadh · translated from Arabic

8 structured interviews, 23–24 Oct 2026 · no product described, payment asked last · Dossier §4.1–4.2, Tables 4–5 · screener 6 Nov (n=15): 9 of 9 prepay

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The evidence moved us twice

START OF SEMESTER

An information problem

“Parents can’t find trustworthy coaches”
→ a directory with reviews

8 INTERVIEWS

AFTER THE INTERVIEWS

A risk problem

Names are easy to get. Money is committed before fit can be judged
→ pay as you go, value that travels

5 PROVIDERS

AFTER PROVIDER RESPONSES

A two-sided problem

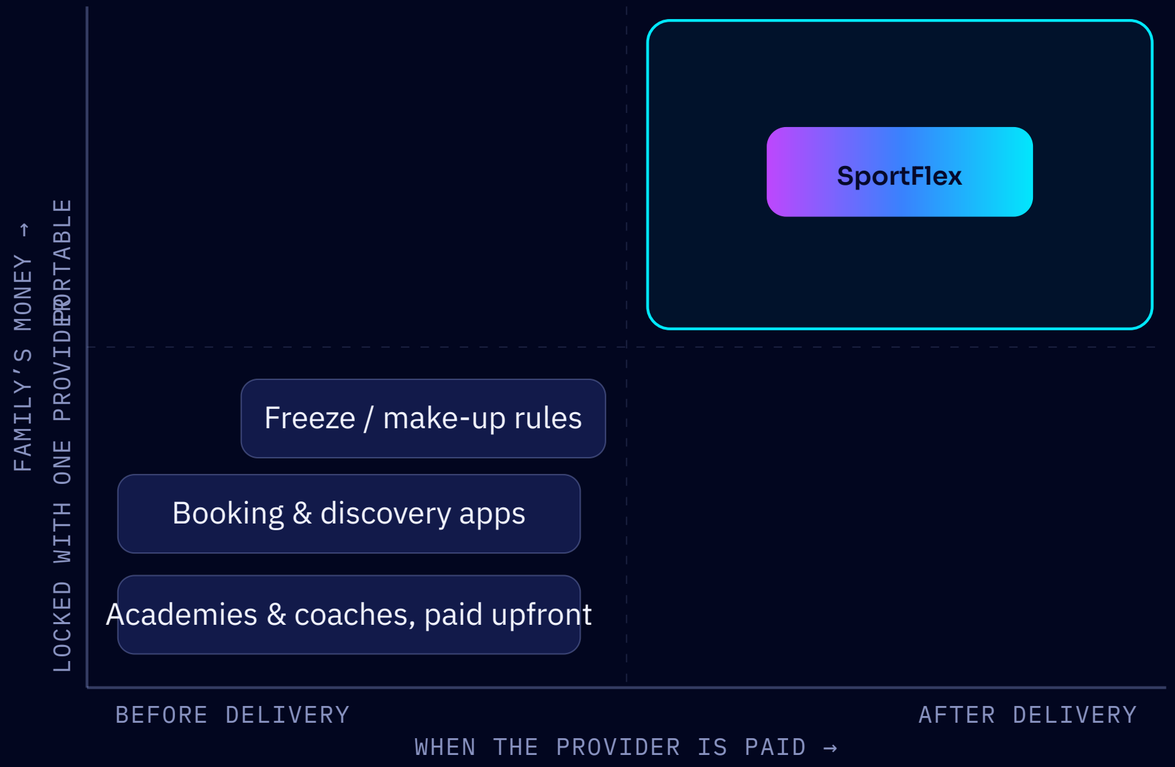
Providers need advance payment to pay coaches and venues
→ move risk off families without taking certainty from providers

Dropped along the way: bonus value in a wallet (e-money must stay at nominal value) · a 35% failure rate (now 25%, range 10–50%)

Dossier §4.5 Figure 1 · Table 7 · Saudi Central Bank (2023a)

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Every option today leaves the family's money with one provider



Status quo is the real competitor: direct payment costs nothing to arrange

≈10% package discount — the market already prices commitment

None in Saudi lets unused value travel to another provider

Dossier §5.3 · Table 10 · Figure 2 · positions are a qualitative reading · desk search 24–30 Oct 2026

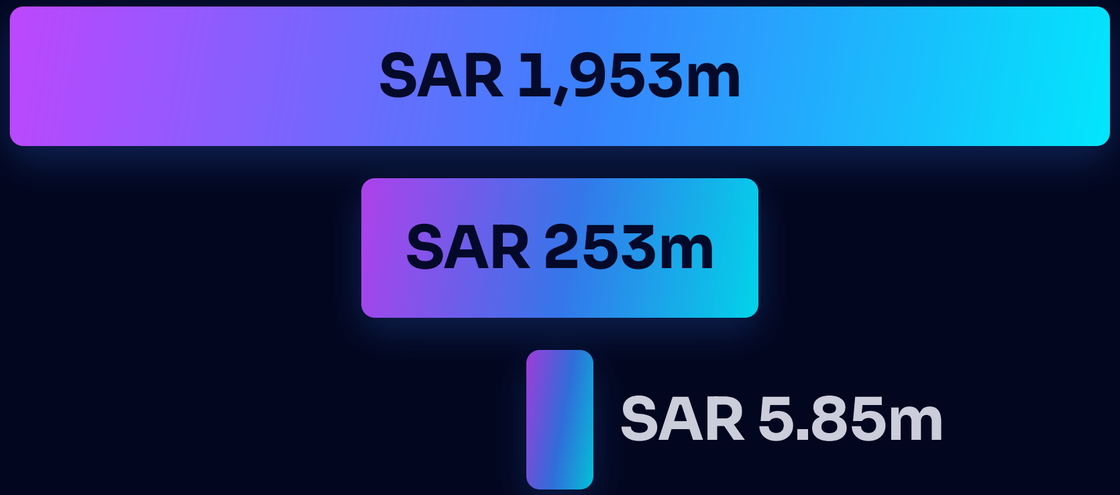
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A SAR 253m market in Riyadh. SAR 5.3m a year lost on wrong first choices.

TAM
Saudi Arabia · children 6–17

SAM
Riyadh · contractable providers

SOM · yr 3
settled through SportFlex



Bottom-up: children × 8% paying × SAR 4,000 a year. Widths on a square-root scale. SOM is a growth scenario (60 providers × 40 children); lower planning case SAR 3.45m.

THE PROBLEM, SIZED

SAR 5.3m

of prepaid value at risk every year in Riyadh

31,678 exploring children × SAR 1,350 × 25% end early × 50% unused

Dossier §7.1–7.7 · Tables 12–15 · Appendix B · GASTAT (2023) · worksheet and sensitivity on B1–B2

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Three conditions hold together for the first time

The law

Sports Law in force Jun 2026: every academy and coach must be licensed — “licensed” becomes a checkable claim

The rails

Instant payments, open banking and split payouts exist; 32 licensed payment companies — we build on a partner’s rails

The parents

85% of retail payments are already electronic; referrals drive the search — the barrier is trust, not technology

⚠ Timing risks: the law’s implementing regulations are still pending (Oct 2026), and an oil-driven slowdown may make parents price-sensitive to a flexibility premium.

Dossier §6 · Table 11 · Bureau of Experts (2025) · Saudi Central Bank (2021–2026) · GASTAT (2026c) · full PESTLE on B4

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Not a technology play: a profit-model change, made portable by a network

TEN TYPES · CONFIGURATION

Profit Model

Parents pre-fund a wallet held by a licensed partner. Providers are paid per confirmed session, or one short block at a time.

TEN TYPES · CONFIGURATION

Network

One balance, accepted by contracted coaches, academies and centres. Unused value follows the child to another coach or sport.

TEN TYPES · EXPERIENCE · ENABLING

Service

Licence status and cancellation terms shown before booking.

	PREPAID PACKAGE TODAY	SPORTFLEX
Who holds the money	The provider	A licensed payment partner
Unused value	Forfeited or locked	Stays in the wallet, portable
Cost of a wrong choice	The family, in full	Shared: only the block started

Dossier §8.1–8.2 · Tables 16–17 · Keeley et al. (2013) · money flow and regulatory structures on B5

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A wrong first choice costs the family SAR 270, not SAR 1,890



SAR 1,890
Today · prepaid package, no refund or transfer

SAR 270
SportFlex · weekly block settlement

SAR 0
SportFlex · one-to-one, paid per confirmed session

SAR 2,700 ten-session package, child stops after 3. The price of flexibility: up to the ≈10% package discount, stated openly.

7 of 9 parents chose a flexible balance at SAR 300/session over a non-refundable SAR 2,700 package

4 of 5 providers would consider a pilot; one academy signed a non-binding LOI at 10% commission

Dossier §9 · Tables 19–22 · stated preference, not adoption · provider detail on B3, package economics on B6

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Three open questions — each with a test and a stop rule

CRITICAL

Will providers commit?

Interest from 5 of 5; one non-binding LOI; portability untested

TEST

Second provider round · ≥2 per category · data-sharing → pilot listing → LOI

CRITICAL

Who can hold the money?

Licensed partner, structure and Sharia compliance not yet established

TEST

Payment partner + legal counsel before any pilot · SAMA Sandbox route

OPEN

Will parents pay for flexibility?

Stated choice 7 of 9; behaviour untested; failure rate 10–50%

TEST

Screened survey outside our networks · concierge pilot

Decision rule, set in advance: continue only if providers in at least 2 of 3 categories commit at ≈10% — otherwise fall back to pay-per-booking, or reframe.

Dossier §10.1–10.3 · Tables 24–25

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PROCEED, with conditions

The problem, the customer and the market meet the Gate 1 standard. What remains are development questions — and they come first.

1

Providers first

From stated interest to signed commitments under the settlement terms, before any further solution design

2

No pilot without a partner

A licensed payment partner and legal counsel confirm a permissible structure for holding wallet funds

3

Parents, outside our networks

Screened survey, repeated choice test, recorded losses, parents of 15–17-year-olds included

WHAT WOULD CHANGE OUR MIND

→ Refine
if outside-network parents don’t show commitment-before-evidence, or paid participation falls below 5%

→ Reframe
if no provider category commits under any arrangement

Dossier §11 · §10.2 decision rules · Table 25

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Market-sizing worksheet

LINE	ITEM	LOW	BASE	HIGH	TYPE
1	Children 6–17, Saudi Arabia	—	6,102,726	—	E
2	Children 6–17, Riyadh city	—	1,131,358	—	E
3	Participation rate P	5%	8%	12%	J
4	Annual spend per coached child S (SAR)	2,700	4,000	6,000	J
6	**TAM, SAR m** (1 × 3 × 4)	824	**1,953**	4,394	C
9	Serviceable-provider share	60%	70%	80%	J
10	Children at serviceable providers	33,941	63,356	108,610	C
11	**SAM, SAR m** (10 × 4)	92	**253**	652	C
12	Exploring share	35%	50%	65%	J
13	Exploring pool, children/yr	11,879	31,678	70,597	C
15–16	Providers × children per provider, year 3	40 × 30	60 × 40	80 × 50	J
19–20	Continuing + new children, year 3	315 + 885	525 + 1,875	735 + 3,265	C
21	Share of S settled by a new child	35%	50%	65%	J
22	**SOM year 3, SAR m**	1.69	**5.85**	17.14	C
24	**Platform revenue year 3, SAR** (take rate 8 / 10 / 12%)	134,946	**585,000**	2,057,220	C

Low/high columns combine all inputs at their extremes; they are **bounds, not forecasts**. Source: GASTAT (2023) via Urbistat for lines 1–2.

BACKUP B2

§7.4–7.5 · ONE INPUT VARIED AT A TIME

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Sensitivity and reasonableness checks

INPUT VARIED (BASE; RANGE)	TAM (SAR M)	SAM (SAR M)	YEAR-3 SOM (SAR M)
Participation P (8%; 5–12%)	1,221–2,929	158–380	—
Spend per child S (4,000; 2,700–6,000)	1,318–2,929	171–380	3.95–8.78
Serviceable share (70%; 60–80%)	—	217–290	—
Providers × children, year 3 (60×40; 40×30 to 80×50)	—	—	3.45–9.05

Supply check

P = 8% requires each of ≈346 Riyadh private providers to coach ≈220 children/yr (plausible); 12% would require ≈350 (not plausible); supports 5–8%.

Affordability check

SAR 4,000/yr is 2.4% of median Saudi household disposable income, 9.1% of non-Saudi.

Top-down check

TAM is ≈8.8% of ≈SAR 22.1bn annual Saudi household recreation spend (GASTAT 2019 survey, dated; Saudi households only).

BACKUP B3

TABLE 6 · APPENDIX E · C1–C3 COACHES · A1 SPORTS CENTRE · A2 ACADEMY

Service-provider evidence in full

STATUS	FINDING	BASIS
Validated observation	Payment is collected in advance	C1–C3 collect before session/package (C3: venue costs); A1 monthly subscriptions; A2 monthly/term/annual/session packages, needs advance to pay coaches
Validated observation	Referrals are the main acquisition route	All three coaches; C2 also TikTok/Snapchat; C3 WhatsApp Business
Validated observation	Income risks differ	Irregular attendance (C1, C2); too few customers (C3); attracting new children (A2); late renewals (C3)
Validated observation	Refund practice varies	C1, C3 return unused value; A1 refunds in specific cases, tracks ≈10% unused/withdrawals; A2 does not refund or track
Validated observation	Interest broad; acceptance of payment-after-delivery mixed	5 of 5 interested; C1, C2 accept; C3 acquisition-only; A1 “to a certain extent”; A2 rejected
Validated observation	4 of 5 would consider a limited pilot	C1, C3, A1 (if terms agreed), A2 (conditions); C2 “maybe”
Validated observation	**A2 accepts weekly advance block settlement at 10%**	Follow-up contact; confirmed in a non-binding LOI; not yet piloted
Unvalidated assumption	Providers in general will accept the terms; findings generalise	One LOI; portability untested; five responses from the team’s networks

BACKUP B4

TABLE 11 · ORDERED BY DECISION RELEVANCE

Full PESTLE with sources

FORCE	WHAT IS TRUE	WHAT IT MEANS FOR SPORTFLEX	DECISION IT INFORMED
Legal (decisive)	Sports Law in force 11 Jun 2026: academies and coaches must be licensed, compliance by Jun 2027; SAMA payment rules: e-money at nominal value, aggregation is a licensed activity; PDPL: guardian consent for minors' data; 15% VAT on commission	A licensed partner must hold parents' funds; revenue from commission only, no float, no bonus value; licence status becomes a checkable claim	Partner-held wallet; legal opinion before any pilot
Technological	sarie instant payments (2021); Open Banking payment initiation (2024); 32 licensed payment companies (May 2026); gateways offer split payouts and capture after delivery	Technology is not the differentiator; multi-party settlement components exist	Build on a partner's rails
Social	Riyadh has the lowest share of active children (14.7% vs 18.7% national); referrals dominate (6 of 8); large gender gap	Headroom for participation; the barrier is trust in a new intermediary holding family money, not the digital channel	Referral-led acquisition; trust design
Economic	Real GDP −3.8% YoY in Q3 2026 (oil −20.4%, non-oil +1.9%); median Saudi household disposable income SAR 13,655/month	Cautious, not collapsing, discretionary spend; losses hurt more, but premium tolerance may fall	Conservative inputs; price sensitivity built into the choice test
Political	Vision 2030: 40% exercising weekly by 2030 (37% in 2023); Nafis licensing platform since 2021	Policy expands both participation and the licensed provider base the model needs	Government programmes excluded from SAM
Environmental	Riyadh summers 44–47°C; coaching indoors; summer-holiday search peak (P1)	Demand is seasonal	Summer as the trial window

Sources: Bureau of Experts (2019, 2025); Latham & Watkins (2023, 2026); White & Case (2026); Reed Smith (2026); Gulf News (2025); Saudi Central Bank (2021, 2022, 2023a, 2024, 2026a, 2026b); Moyasar (n.d.); Council of Economic and Development Affairs (2016); Quality of Life Program (n.d.); Saudi Press Agency (2021); GASTAT (2024a, 2024b, 2026a, 2026c); Bridge Middle East (2025); Ministry of Finance (2026); Arab News (2024); PwC Middle East (2021); Bird & Bird (n.d.).

BACKUP B5

§8.3 · FIGURE 4 · TABLE 18 · CONCEPTUAL, NO PRODUCT UI

Money flow and the three regulatory structures



STRUCTURE	HOW FUNDS ARE HELD	FIT	UNRESOLVED QUESTION
A. Pay per booking, capture after delivery	No stored balance; card authorised at booking, charged after session, split payout	Lightest regulation; fallback; cannot pay providers in advance or hold a term's funds	Authorisation window; aggregation vs. commercial-agent exclusion
B. E-money balance issued by a licensed partner	Partner issues and holds balance at nominal value; refundable	**Matches the wallet**, including portability and refunds	Is it e-money? Own licence or agency arrangement, and at what cost?
C. Limited-network prepaid value	Usable only within the contracted network, no cash redemption; SAMA registration	Supports portability within network	Conflicts with the refund promise; would the network qualify?

Team interpretation of Saudi Central Bank (2023a) Arts. 6, 7, 49; **not reviewed by counsel**.

Package economics under three arrangements

OUTCOME		PREPAID PACKAGE	A: PARENT PAYS SINGLE-SESSION RATE	B: PROVIDER FUNDS COMMISSION
Child stops after 3	Parent pays	2,700	900	810
	Provider receives	2,700	810	729
	SportFlex	—	90	81
Child completes 10	Parent pays	2,700	3,000	2,700
	Provider receives	2,700	2,700	2,430
	SportFlex	—	300	270

WHERE THE PREPAYMENT SITS (CHILD STOPS AFTER 3 OF 10)	CASH WITH PROVIDER BEFORE FIRST SESSION	VALUE FORFEITED	BALANCE KEPT FOR USE ELSEWHERE
Paid to provider at start (no refund/transfer)	2,700	**1,890**	0
Wallet, one-to-one, paid per confirmed session	0	**0**	1,890
Wallet, weekly block settlement (2 sessions/week)	540	**270**	1,620

VALUE-AT-RISK DISCIPLINE ON PRICE

Expected loss ≈ SAR 169 per exploring child vs. ≈ SAR 270 flexibility premium on a SAR 2,700 package under arrangement A. Paying more than the expected loss is what risk-averse buyers do when they insure; 7 of 9 still chose flexibility.

Jobs-to-be-Done and the four forces

> *“When my child wants to start a sport, or the current one is not working, I want to try a coach, sport or format that suits my child without locking money into a package I cannot recover, so that my child settles into coaching they enjoy and keep attending, without wasting money or weeks of searching.”*

FORCE	WHAT WE HEARD	EVIDENCE
Push of the situation	Child wants to start; current club/sport/method not working; summer triggers a search	P1; P2, P3, P5
Pull of a better way	A coach others praise; a way to try before committing; clear terms	P1; P2; P4; P8
Anxiety about the new	Losing money on a wrong choice; cannot verify qualifications	P1, P2; P3; P6, P7
Habit of the present	Trusting referrals; prepayment as normal; package discounts	P1–P3, P5–P7; 5–10% discounts (E)

Functional job rests on several accounts each; **emotional and social dimensions on one or two and need confirming**.

BACKUP B8

TABLE 23 · §4.7 LIMITATIONS

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Business Model Canvas, first three blocks, and limitations

BLOCK	PARENTS (PRIMARY CUSTOMER)	PROVIDERS (NECESSARY PARTICIPANT)
Customer Segments	Riyadh parents of children 6–17 starting or changing; beachhead exploring families; performance-focused families as second segment	Independent coaches, newer academies, providers with spare capacity first; established academies with full terms later
Value Propositions	Try without forfeiting unused value; one balance across providers; licence status and terms shown before payment	New families at the moment of choice; simpler booking; payment secured from reserved funds; fewer missed renewals
Customer Relationships	Referral-led acquisition; concierge onboarding in pilot; trust via partner-held funds and stated dispute process	Personal onboarding; agreed settlement terms; self-service dashboard; periodic review of block length and commission

LIMITATIONS TO STATE IF ASKED · §4.7

8 interviews from own networks (likely more affluent, more digital); answers noted not transcribed; Q7 presupposed a failure; Q8 options overlapped (monthly vs. before sessions); children mostly under 15; screener did not screen for recent start; provider responses are five, from own networks, stated not committed; A1 enrolment/capacity figures ambiguous in order; A2 serves 13+ so only part of its enrolment is in scope.